

WORKING PROTOTYPE · DEMO DAY, 19 SEPTEMBER 2026

Paytm Hisaab

Every rupee, on your side.

An AI teammate that explains a merchant's money
when a freeze or a tax notice hits.

Track 3: Autonomous AI Teammates · Paytm Build for India AI Hackathon, Bengaluru

Built on n8n · Sarvam AI · Cognee · PostgreSQL

Small merchants can't explain their own UPI money

Every rupee is traceable

10M+ businesses take UPI on a Paytm QR

Authorities read the trail

Police freeze accounts.
Tax offices send notices.

Merchants can't answer

No record of what each payment was for

The result: **frozen accounts, wrong tax bills, and shops going back to cash.**

One payment can freeze a whole shop

₹4,200

the disputed payment

339

payments that week

100%

of the account frozen

They sold onions to a customer three hops from a fraud. They aren't even named in the FIR.

The bank
has no bill

The police officer
is in another state

The merchant
can't find the payment

Nobody can say which payment it was, or what it paid for.

Two authorities now demand an answer

Cyber-crime freezes

MHA/I4C SOP of 2 January 2026, and the High Courts

- Hold only the disputed amount, not the whole account
- “Mule account” is a label, not a reason
- A shop can’t check who is paying it by UPI

Shree Balaji Enterprises v. RBI (Rajasthan HC, 20 Aug 2026);
Sri Sai Wines v. Union of India (AP HC, 22 Jun 2026); Ritesh
Yadav v. RBI (Allahabad HC, 14 Aug 2026)

GST notices

Haveri, Karnataka, 2025

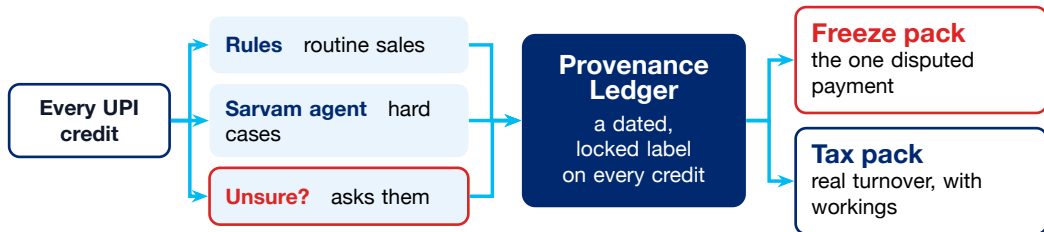
₹29 lakh

demanded from a vegetable seller whose sales were tax-exempt

Exempt sales still count toward turnover (CGST s.2(6)), so the answer needs the real split.

Both ask one question: **what was each rupee, actually?**

One ledger, two answers



It never guesses: **at most 3 questions a day**, one tap each, in their own language.

The teammate works each case end to end

Every night

- ✓ Labels new payments
- ✓ Asks up to 3 questions
- Warns on WhatsApp before the GST limit

Account frozen

- ✓ Finds the one payment
- ✓ Builds the evidence pack
- Drafts the grievance

Tax notice

- Reads the notice photo
- ✓ Rebuilds real turnover
- Explains it to their CA

✓ runs in today's demo ○ next

Hands to a human when the amount is large, the evidence is weak, the payment isn't a sale, or they dispute a label: seven rules, each with its reason.

Nothing is sent without a Paytm officer's approval, and the server enforces it.

A teammate, not a chatbot

It understands, decides, acts, and knows when to hand over

Understands context

Each payer's history as of that payment, plus memory of the shop

Makes decisions

Picks 1 payment out of 339, and 3 questions out of 68

Takes actions

Opens the case, builds a fingerprinted evidence pack

Works with humans

They answer by tap or WhatsApp; an officer approves

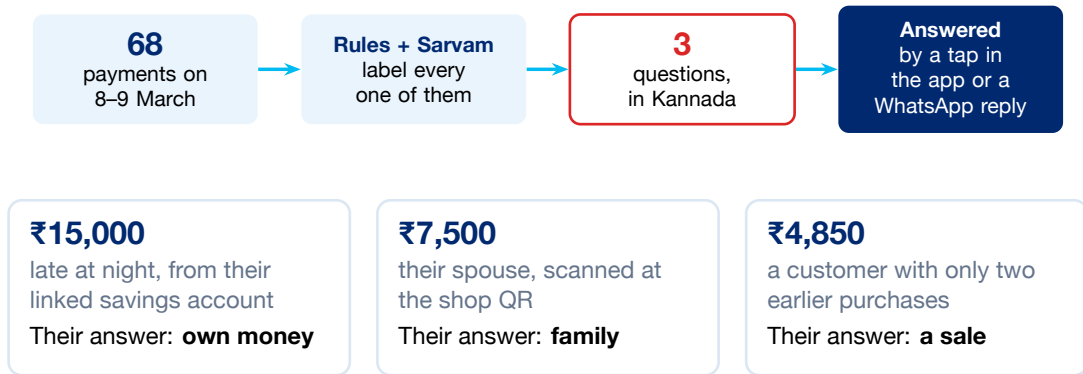
Escalates wisely

Seven escalation rules, each with a written reason

Measurable outcomes

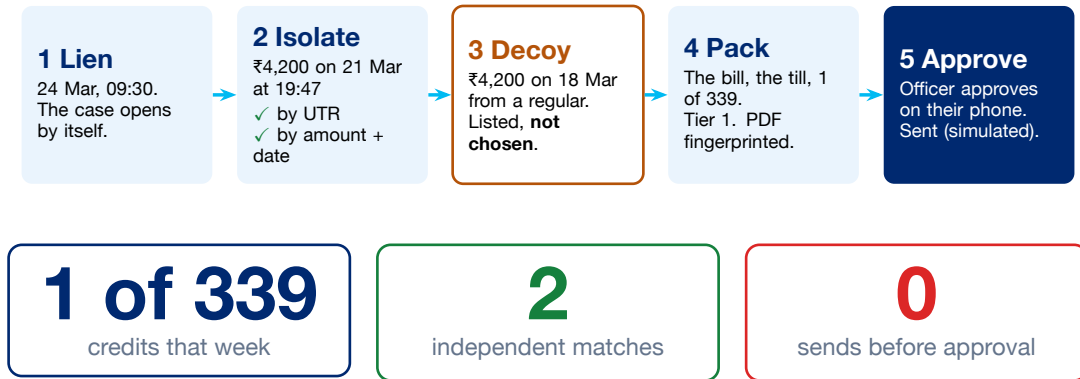
Freeze to pack to approval, timed by the server

68 payments in, 3 questions out



The other 65 are labelled without asking, the ₹23 one included. **The AI's label stays beside their answer, both dated.**

From a lien to an approved pack



A send before approval is refused by the server. The merchant's case tracker moves to "sent".

A record nobody can fake later

- ✓ Append-only and hash-chained, per shop
- ✓ The database refuses edits and deletes
- ✓ Their answers never overwrite the AI's label
- ✓ The database stamps the time, so nobody can backdate

Every line of the pack is graded

1 Backed by a bill

2 Derived by a rule

3 Their answer when asked

4 Added after the notice

Each pack reports the share held in tiers 1 and 2: a history made up after the fact can't fill them.

We sort. We don't advocate.

Lines we won't cross, enforced in code

Never claims innocence

A guard rejects any draft that asserts it as fact

Nothing sent unapproved

The server refuses a send without an officer's approval in the ledger

The AI never does the maths

A guard rejects any figure that Python didn't compute

Only verified law

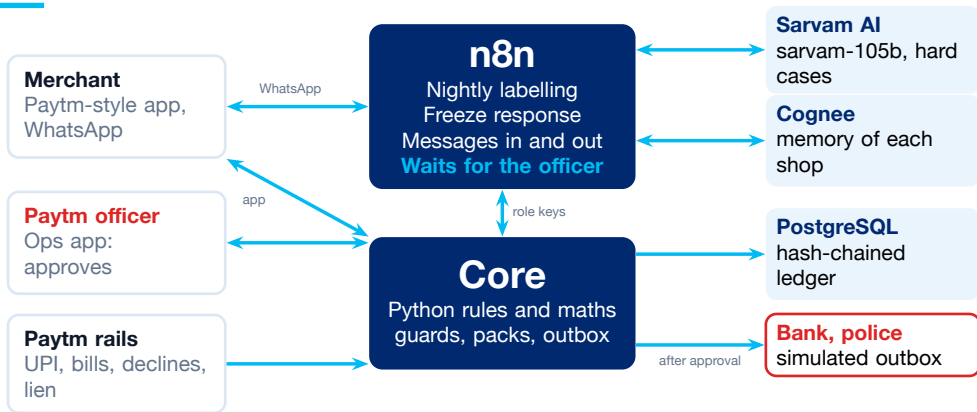
10 sources checked by hand; an unverified one blocks approval

Never helps dodge tax

Every turnover answer carries the registration verdict

The guards are plain Python, not prompts. **If a check can't decide, it fails closed.**

Architecture, as built



Every agent step is an n8n node you can open. **Core, not the workflow, decides what may be written or sent.**

Built on n8n, Sarvam AI and Cognition

n8n

five workflows, one waits for a person

Sarvam AI

sarvam-105b labels the hard cases

Cognition

a separate memory for each shop

Python + FastAPI

rules, maths, guards, PDF packs

PostgreSQL

an append-only, hash-chained ledger

WhatsApp + app

Kannada, Hindi and English

AI proposes



Python calculates



Ledger records



A person approves

Why only Paytm can do this

1 On the rail

Sees every payment the moment it moves
Khatabook, Vyapar and ClearTax work after the fact

2 Two authorities, one engine

Police and tax answered from one ledger
Other tools do one or the other

3 Can't be faked later

Hash-chained from the day each payment lands
A mule can't backdate a clean history

4 Already the channel

Paytm already answers banks and police
They confirm; Paytm responds in time

Why now: CFCFRMS opened a freeze-grievance module in April 2026, and High Courts have ruled a lien should cover only the disputed amount.

Everyone in the loop wins



Merchant

Keeps trading: only the disputed amount is held

Paytm

Keeps the GMV, the Soundbox and the loans

Banks, police

Get a verified trail they can act on

UPI economy

Fewer “No UPI, cash only” signs

32.80 lakh cyber-fraud complaints on CFCFRMS, and 32.08 lakh Layer-1 mule accounts flagged, to 30 June 2026 (PIB)

In a pilot we measure: days to release · balance kept usable · merchants still active after 30 days

Business model

Retention

Paytm pays

Frozen merchants stay and keep transacting

Hisaab Pro

Merchant pays

A monthly add-on to their Soundbox plan

Credit

Lenders pay

Documented turnover unlocks loans

Verification

Banks pay

Checks whether a receiver is a genuine seller

Never charged: getting your own money released.

Built in two days, and what comes next

Working in the demo

- ✓ A hash-chained ledger that refuses edits
- ✓ Nightly labelling, with 3 questions in Kannada
- ✓ Answers by app tap or WhatsApp reply
- ✓ Freeze: case, isolation, fingerprinted PDF pack
- ✓ Officer approval before a simulated send
- ✓ Tiers, guards, turnover, threshold, escalation
- ✓ Merchant and officer apps in 3 languages
- ✓ A demo reset in 36 seconds

Next

- A grievance drafted only from verified law
- A notice photo read by Sarvam Vision, then the tax pack
- The threshold warning on WhatsApp
- Voice notes, in and out
- A daily fingerprint anchored outside Paytm
- A full year labelled, so turnover covers every payment
- The same workflows running on n8n Cloud

All data is synthetic: every person, shop and case is fictional. Sends to banks and police are simulated.

Paytm Hisaab every rupee, on your side.